

LEMKE v. MERS INC. et al

21CV45420

DEMURRER TO FIRST AMENDED COMPLAINT

This is one of three wrongful foreclosure cases filed by plaintiff in an attempt to regain ownership of a home he lost in foreclosure. Plaintiff does not deny borrowing almost a half-million dollars, and not paying it back. Plaintiff does not deny that the lender could assign that unpaid note to someone else, and that a deed with the right of foreclosure would follow. Plaintiff simply contends that in the exact moment these foreclosure proceedings commenced, the wrong entity was calling the shots (see Opp.Brf. 10:25).

Before the Court are brought by all the parties who have generally appeared in the action demurrers to the operative First Amended Complaint:

- (1) **Henry and Julie Martinez**, the putative BFPs who currently own the subject property. They have demurred to the Third (wrongful foreclosure), Fourth (cancellation of instruments), Fifth (slander of title) and Seventh (quiet title) causes of action;
- (2) **DLJ Mortgage Capital**, the ostensible lender on plaintiff's original loan has demurred to the entire complaint on res judicata grounds, as well as the First (intentional misrepresentation), Second (fraudulent concealment) and Sixth (unfair practices) causes of action;
- (3) **MERS and U.S. Bank**, as the beneficiary and trustee, respectively, have demurred to the First (intentional misrepresentation), Second (fraudulent concealment), Third (wrongful foreclosure), Fourth (cancellation of instruments), Fifth (slander of title), Sixth (unfair practices), Seventh (quiet title), and Ninth (elder abuse) causes of action.

The only party not demurring is LoanCity, which is not participating at all in this action. Although plaintiff makes repeated references to LoanCity admissions as evidence of wrongdoing against the others, deemed admitted RFAs are only binding against LoanCity – not the other defendants. (CCP §2033.410.) In that vein, the “admissions” of wrongdoing remain unsupported contentions/conclusions entitled to no weight against the others. (See, e.g., *Victaulic Co v. American Home Assurance Co.* (2018) 20 Cal.App.5th 948, 971-973; *Gonsalves v. Li* (2015) 232 Cal.App.4th 1406, 1411-1416.)

Pertinent Background

The salient facts can be succinctly set forth follows:

On or about 02/17/06, non-party Lemke Construction Inc. gave plaintiff John Lemke (hereinafter “plaintiff”) a grant deed to APN 061-065-001, more commonly known as 110 Bridlewood Lane, Copperopolis (hereinafter “subject property”). A few days later, plaintiff borrowed \$455,000.00 from LoanCity. The loan was memorialized by a written promissory note, and secured with a deed of trust to the subject property.

On or about 10/24/21, MERS assigned its beneficial interest in plaintiff's promissory note to U.S. Bank. U.S. Bank retained Wells Fargo to service the loan, and

presumably authorized Wells Fargo to substitute NDEx West as trustee (in place of Sterling Title Company).

On or about 05/13/12, NDEx West – as successor trustee – commenced foreclosure proceedings after plaintiff fell \$36,886.15 in arrears (with a balance still owing close to \$447,000.00. Despite Notice of Default and Notice of Trustee's Sale, plaintiff did not tender the arrears or otherwise cure the deficiency.

On or about 08/27/12, the subject property was sold at auction for \$380,000.00 to U.S. Bank, which forgave the balance of the debt as a credit bid. The Trustee's Deed Upon Sale was recorded a few days later, on 08/31/12.

On or about 09/28/12, the new owner (U.S. Bank) filed an unlawful detainer action against plaintiff (see 12UD10594). Judgment was entered in favor of U.S. Bank, and possession secured by early February of 2013. Two months later, the property was sold to Henry and Julie Martinez for \$390,000.00.

Also on or about 09/28/12, plaintiff filed a wrongful foreclosure case in federal district court against LoanCity, Wells Fargo, U.S. Bank and MERS (see 1:12-cv-01596-AWI). While a defense motion to dismiss was under submission, plaintiff secured a voluntary dismissal of the entire action, without prejudice. (Based on the timing, it appears the federal lawsuit was prosecuted for the singular purpose of delaying the UD action.)

On or about 06/25/13, plaintiff filed a second wrongful foreclosure lawsuit – this time in state court (see 13CV39159) – against Wells Fargo, LoanCity, MERS and U.S. Bank. This Court granted a motion to expunge plaintiff's *lis pendens*, and sustained *without* leave to amend the demurrer to the whole of the First Amended Complaint therein. Plaintiff appealed only the ruling on demurrer, and only that aspect of the court order denying plaintiff's request for leave to amend. The Third DCA affirmed the judgment (see C079415). No action was required of the remittitur, resulting in finality.

On or about 06/15/21, plaintiff filed the pending wrongful foreclosure lawsuit, his third involving these defendants and the subject property. The operative iteration is the First Amended Complaint, which includes nine (9) causes of action.

According to plaintiff, LoanCity funded plaintiff's loan with money obtained from co-defendant DLJ Mortgage (an out-of-state lender), and failed to disclose this fact to plaintiff before he accepted the \$455,000.00. Plaintiff does not allege any facts to show that the origin of the money was of any consequence, or that he was in any position to actually cure his arrears had he been apprised of the true source of the loan funds. In addition, LoanCity had no duty to tell plaintiff about this alleged funding. (See *Bank of America Corp. v. Superior Court* (2011) 198 Cal.App.4th 862, 872-873; in accord, *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 928-931; *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 206.) Plaintiff separately contends— despite express authority in the deed of trust allowing MERS to assign the note to others – that LoanCity and MERS actually had a secret agreement barring MERS from doing just that. Plaintiff contends that this is relevant since the only reason U.S. Bank was able to effectuate the foreclosure sale was based upon an assignment from MERS. Since plaintiff gave LoanCity the right to assign the note, MERS was free to do what it did. (See *Sheen* at 935 [“if borrowers have agreed that lenders may freely assign loans, borrowers are not thereafter entitled to choose if, when, to whom, and to what extent lenders may assign rights to those loans. In particular, borrowers do not choose who may

subsequently service their loans, and thus who will be the entities with which they will interact in any loan modification attempt.”)] Plaintiff does not explain how any of this caused him harm or invalidates the sale to Henry and Julie Martinez, who by all accounts are innocent BFPs caught up in plaintiff’s litigation. (See Civil Code §2924(c); *Vasquez v. LBS Financial Credit Union* (2020) 52 Cal.App.5th 97, 107; *Deutsche Bank National Trust Co. v. Pyle* (2017) 13 Cal.App.5th 513, 521; *Melendrez v. D&I Investment, Inc.* (2005) 127 Cal.App.4th 1238, 1253-1254.)

Request for Judicial Notice

Both sides request judicial notice of various documents. Asking a court to take judicial notice of a document is asking the court to take judicial notice of its existence and – to the extent it is not subject to dispute – the significance or legal effect of its existence, if any. Taking judicial notice of a document does not equate with any determination regarding the truth of its contents or accepting a particular interpretation of its meaning. (See *Intengan v. BAC Home Loans Servicing LP* (2013) 214 Cal.App.4th 1047, 1057; *Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 753-754.) With that caveat, and overruling plaintiff’s unfounded objections, the requests to take judicial notice are GRANTED.

Res Judicata and Collateral Estoppel

Each demurring defendant herein contends first that plaintiff’s entire lawsuit is barred by res judicata and/or collateral estoppel, relying on both the express allegations within the operative pleading and the undisputed facts set forth in the documents provided for purposes of judicial notice.

Res judicata, also known as claim preclusion, bars subsequent litigation of a claim involving violation of the same primary right at issue in an earlier action, provided that earlier action reached a final judgment on the merits between the same parties in the current litigation. Collateral estoppel, which is also known as issue preclusion, applies when the issue sought to be precluded from relitigation is identical to that decided in a prior proceeding; the issue was actually litigated and not entirely unnecessary to the prior proceeding; the decision in the prior proceeding is on the merits and final; and the party against whom preclusion is sought is the same as, or in privity with, the party to the prior proceeding. (See *Samara v. Matar* (2018) 5 Cal.5th 322, 326-327; *DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824-826; *Meridian Financial Services, Inc. v. Phan* (2021) 67 Cal.App.5th 657, 686; *Ivanoff v. Bank of America, N.A.* (2017) 9 Cal.App.5th 719, 727-729.)

According to plaintiff, the prior litigation did not conclude in any determination on the merits, which is a condition precedent to the application of either res judicata or collateral estoppel. Plaintiff asks this Court to drill down into the substance of the underlying demurrer, and conclude that arguments regarding plaintiff’s “lack of standing” equate with a procedural dismissal, not one on the merits. By looking only at the demurrer, plaintiff views the issue too narrowly. Plaintiff lost an unlawful detainer action, as well as motion to expunge a lis pendens. Both of those adjudications were on the merits, and are long-since final. Thus, it is necessary to drill down into all three to determine what, if any, claims might still be viable. (See *Schaefer/Karpf Productions v. CNA Ins. Companies* (1998) 64 Cal.App.4th 1306, 1314.)

In an unlawful detainer action brought under CCP §1161a, the court necessarily must decide whether the purchaser at the trustee’s sale acquired legal title to the subject property in accordance with Civil Code §2924. The resulting unlawful detainer judgment is therefore a

determination that the foreclosure sale was conducted in accordance with Civil Code §2924. Consequently, a judgment in an unlawful detainer action is collateral estoppel for purposes of any subsequent fraud or quiet title action founded upon allegations of irregularity in a trustee's sale (ie, the foreclosure sale had been duly conducted, and the successful bidder obtained duly perfected legal title). (See *Vella v. Hudgins* (1977) 20 Cal.3d 251, 255; *Malkoskie v. Option One Mortgage Corp.* (2010) 188 Cal.App.4th 968, 974-976; in accord, *Struiksma v. Ocwen Loan Servicing, LLC* (2021) 66 Cal.App.5th 546, 554-558.) Since the unlawful detainer action actually and necessarily decided that the foreclosure sale was duly conducted and that U.S. Bank had acquired duly perfected title, the judgment entered against plaintiff in 12UD10594 precludes relitigation of U.S. Bank's status as bona fide owner post-foreclosure.

On the successful defense motion to expunge plaintiff's *lis pendens* in 13CV39159, the trial court's Order dated 10/03/13 only states that the motion "is granted." Since the order itself does not state with particularity what was actually and necessarily decided, it is necessary – as plaintiff suggests – to analyze the moving and opposing papers. Defendants first argued that the 13CV39159 did not contain real property claims. Since a wrongful foreclosure case is clearly a challenge to title (see CCP §405.4 and *Chavez v. Indymac Mortgage Services* (2013) 219 Cal.App.4th 1052, 1062), that argument is not persuasive. Defendants next argued that plaintiff could not establish the probable validity of her real property claims because (1) *Gomez v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1154 prohibited challenges to a trustee's authority, (2) plaintiff failed to allege tender as a condition precedent, (3) plaintiff failed to rebut the presumption of validity found in Civil Code §2924a, and (4) there was no legal basis for cancelling the various instruments simply because there was some confusion as to who actually owned the note. In opposition, plaintiff argued the merits and presented whatever evidence he had. Since it was plaintiff's burden to present evidence sufficient to show that he was more likely than not to prevail on his real property claims (see CCP §405.3 and *Amalgamated Bank v. Superior Court* (2007) 149 Cal.App.4th 1003, 1007), the trial court's order granting the motion to quash necessarily concluded on the merits that plaintiff did not meet his evidentiary burden. Since this was litigated to finality, plaintiff is collaterally estopped from relitigating those same theories found wanting on the motion to expunge.

Finally, there is the question of the demurrer to those same real property claims. The trial court's Order dated 10/03/13 sustained defendants' demurrer in its entirety "for the reasons set forth in defendants'" papers and because "the First Amended Complaint does not state facts sufficient to constitute a cause of action and is uncertain." Since the order itself does not state with particularity what was actually and necessarily decided, it is necessary – as plaintiff suggests – to once again look to the moving and opposing papers. The moving papers for the demurrer were essentially a restatement of the arguments made on the motion to expunge, albeit with the added wrinkle that the absence of facts renders the claims legal deficient, and that leave to amend would be fruitless since those claims cannot survive as a matter of law. Plaintiff's opposition was similar to his opposition on the motion to expunge. While a motion to expunge is an evidentiary hearing, a demurrer is not. As such, a conclusion that the pleading did not contain sufficient facts is not itself entitled to issue preclusion. However, a demurrer sustained without leave to amend for failure to state is entitled to preclusion. (See *Boyd v. Freeman* (2017) 18 Cal.App.5th 847, 855 ["a demurrer which is sustained for failure of the facts alleged to establish a cause of action, is a judgment on the

merits”]; *Cal Sierra Development, Inc. v. George Reed, Inc.* (2017) 14 Cal.App.5th 663, 675; in accord, *Andres v. Ocwen Loan Servicing, LLC*, WL8112531 at *6 (C.D. Cal. 2019).)

Plaintiff contends that when this Court granted the motion to expunge, and sustained the demurrer without leave to amend, the only issue decided was that plaintiff lacked standing to bring the various claims, and that a “lack of standing” is not a decision on the merits. While an absence of standing to bring suit is indeed not on the merits (see *Hudis v. Crawford* (2005) 125 Cal.App.4th 1586, 1592), the defendants’ repeated claim that plaintiff “lacked standing” was not a challenge to plaintiff’s status as a real party in interest, but instead a shorthand description of the concept that a borrower in default does not have a legal right to challenge a trustee’s authority to commence a nonjudicial foreclosure sale. (See *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 928 n.3.) In other words, the trial court’s ruling in the prior action that plaintiff could not object to third-party transfers of his promissory note and deed of trust was a substantive adjudication, not a technical one. (See, e.g., *Boccardo v. Safeway Stores, Inc.* (1982) 134 Cal.App.3d 1037, 1043.)

Based on the totality of the circumstances, plaintiff’s primary right to avoid the wrongful taking of his interest in secured real property was fully litigated on the merits by virtue of the unlawful detainer action, the motion to expunge in 13CV39159, and the demurrer in that same case. That same primary right lies at the heart of the pending lawsuit, and in fact most of the same causes of action are pled. The current lawsuit is barred by either claim or issue preclusion (depending on which defendant is asking). The fact that plaintiff now includes averments regarding loan origination and table-funding is of no consequence since those averments could have, and really should have, been expressly included in the earlier litigation taking issue with all aspects of the note handling.

Statute of Limitations

A corollary to the affirmative defense of preclusion is defendants’ assertion that any claim not barred by preclusion is nevertheless barred by the passage of the statute of limitations. This would seem rather obvious given that the nonjudicial foreclosure sale at issue took place almost a decade ago, with the longest statute of limitations for any claim asserted herein being four years. This concern is particularly relevant here since at the time plaintiff’s causes of action accrued, the law in California forbade the kind of legal theory espoused by plaintiff (voidable assignment to securitized pool) – but in the intervening decade, that theory might now work.

Plaintiff admits that his causes of action accrued on 10/13/12, the day of the foreclosure sale (see Opp. Brf. 6:1). Plaintiff then proceeds to cite various rules regarding delayed discovery and tolling, and contends in conclusory fashion that the statute of limitations for the claims asserted in this 2021 case were tolled while “different” claims were on appeal in the 2013 case, and it was not until the 2013 case was final that the statute of limitations began to run again. Initially, it is important to note that voluntarily taking an appeal of an adverse decision does NOT toll any applicable statute of limitations. (See *Vishva Dev, M.D., Inc. v. Blue Shield of California Life & Health Ins. Co.* (2016) 2 Cal.App.5th 1218, 1224-1225; *Williams v. Housing Authority of Los Angeles* (2004) 121 Cal.App.4th 708, 737–738; *Pompilio v. Kosmo, Cho & Brown* (1995) 39 Cal.App.4th 1324, 1328.) Even beyond that, there is no basis in law or fact to find that plaintiff can avoid preclusion after losing on appeal, and yet retain the benefit of tolling while awaiting that unfavorable decision to refile a duplicate lawsuit. The fact

that the substantive law on plaintiff's theory of liability has changed in the intervening decade to his slight benefit is of no concern.

The lawsuit filed 06/15/21 is, on its face, untimely since plaintiff suffered harm over eight (8) years earlier, and actually suspected wrongdoing by virtue of his having filed a lawsuit in federal court in 2012 and another in state court in 2013.

Demurrer **SUSTAINED without** leave to amend. The Clerk shall provide notice of this Ruling to the parties forthwith. Each defendant to prepare a formal Order for their respective motion pursuant to CRC 3.1312 in conformity with this ruling.

TRYON v. ANGELS GUN CLUB

17CV42160 (Related to 19CV44275)

MOTION FOR SUMMARY JUDGMENT

This is a neighbor dispute involving noise, trespass, firearm projectiles, unrecorded parcel assignments, and equitable/prescriptive easements. Before the Court is a defense motion for summary judgment/adjudication. Due to an excusable error on the part of plaintiff's counsel, the opposition papers were filed/served late, causing defendant to falsely assume that the motion was unopposed. There being no reply papers on file a continuance to allow a reply to be served and filed is warranted. Defendant shall file and serve reply papers on or before May 31, 2022. **Hearing is continued to June 10, 2022, at 9:00 a.m. in Department 2.**

The Clerk shall provide notice of this Ruling to the parties forthwith. No formal order pursuant to CRC 3.1312 shall be required.